

allocation is a central part of that plan. It determines most of your portfolio's risk and return over time. The strategy shifts the focus of investing from trying to pick winning investments to being diversified in many unlike investments at all times.

No one knows what will happen in the financial markets next week, next month, or next year. Yet we need to invest for the future. Asset allocation solves a problem that all investors face, namely, how to manage investments without knowing the future. Asset allocation eliminates the need to predict the near-term future direction of the financial markets and eliminates the risk of being in the wrong market at the wrong time. It also eliminates the risk of others giving you bad advice.

We have only a finite amount of time in life to build a portfolio that will sustain us during retirement, and it does not take many mistakes before this goal is put in jeopardy. You do not want to be the next person we read about in the newspapers who has lost his retirement savings by taking inappropriate risk or following the advice of the wrong advisor. Develop a good asset allocation plan, implement the plan, maintain the plan, and make adjustments as your needs change. Asset allocation is not an exciting investment strategy, but when it comes to making money, boring can be very profitable.

NOTES

- ¹“Private-Sector Refinancing of the Large Hedge Fund, Long-Term Capital Management,” testimony of Chairman Alan Greenspan before the Committee on Banking and Financial Services, U.S. House of Representatives, October 1, 1998.
- ²Roger G. Ibbotson and Paul D. Kaplan, “Does Asset Allocation Policy Explain 40, 90 or 100 Percent of Performance?” *Financial Analysts Journal*, January/February 2000, pp. 26–33.
- ³Gary P. Brinson, L. Randolph Hood, and Gilbert L. Beebower, “Determinants of Portfolio Performance,” *Financial Analysts Journal*, July/August 1986.
- ⁴Gary P. Brinson, Brian D. Singer, and Gilbert L. Beebower, “Determinants of Portfolio Performance II: An Update,” *Financial Analysts Journal*, May/June 1991.